# Earnings Transcript Analysis Results

**Run Date:** 20260204_100249

**Transcripts Analyzed:** 2

• CVS Q3 2024

• CVS Q4 2024

**Total Chunks in Vector Store:** 178

## Question 1: What phrases were consistent with the previous quarter commentary?

The phrases consistent with previous quarter commentary include references to seasonality effects on earnings, particularly regarding Medicare Advantage margins and Part D premium impacts. In Q4 2024, Tom Cowhey mentioned a "55-45 first half, second half split" for the year, which aligns with earlier discussions about varying performance across quarters, such as in Q3 2024 where there was mention of earnings swinging by eight points between the first and fourth quarter. Additionally, continuing emphasis on PDR (presumably Payment Duration Reduction) impacts was noted in both Q3 and Q4 2024 transcripts.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q4 2024***

> So your MBRs for the Aetna business, they're going to be lowest in the fourth -- first quarter, and they're going to be highest in the fourth. And you could see eight points of swing between the first and the fourth quarter as you think about the progression of earnings and the progression of MDRs there. And so -- and that's on the total of Aetna. And the second and the third quarters will probably be more similar to each other, but there'll be a little bit more pressure in the third quarter tha...

***Chunk 2 - CVS Q3 2024***

> Operator We now have Elizabeth Anderson with Evercore ISI. Elizabeth Anderson -- Evercore ISI -- Analyst Hi, guys. Thanks so much for the question this morning. Maybe just one question about the PDR opex mechanics that you guys talked about on the third quarter -- for the third-quarter PDR. Does that from an opex perspective, does that flip and become a positive to your numbers in the fourth quarter? That would by my first question. Then secondarily, can you just maybe dig in a little bit mo...

***Chunk 3 - CVS Q3 2024***

> Prem Shah -- Executive Vice President, Chief Pharmacy Officer On the PCW strength, I'd say a few things. First and foremost, we had a really strong quarter. Part of that was driven by immunization season coming sooner than we expected -- it started in mid-August versus later that month or early September, and we had a first market mover there, we were ready for that, our teams were prepared. We've been preparing for that season for the most part of the year.

***Chunk 4 - CVS Q3 2024***

> . Then finally, we noted the group Medicare trend levels, that if they persisted at that level, I just referenced that could cause us to take additional PDR in the fourth quarter, but that will really depend on what we think baseline is for '24 and how it is that that's going to persist into '25, so more to come on that.

***Chunk 5 - CVS Q3 2024***

> Operator Thank you. We now have John Ransom with RJF. Your line is open. John Ransom -- Analyst Hey. Good morning. Signify and Oak, are they tracking in line with your expectations, and do you think that trend will change in any way next year? Tom Cowhey -- Executive Vice President, Chief Financial Officer Signify has had a great year. As we noted, the volume was up,

I think 37% year over year inside the third quarter. That business has continued to perform very well. Oak Street overall has...

***Chunk 6 - CVS Q3 2024***

But on your MLR-specific comments, that is inclusive of the release of the PDR, that you can see that 700 basis point increase, but not necessarily inclusive of a PDR in group, which will depend on a variety of factors. But let me walk you through -- give you a little bit more commentary and color on what we outlined here. First, I think it's important to just continue to reiterate, we feel very good about our ability to achieve the guidance we gave last quarter on both the PCW and the health se...

***Chunk 7 - CVS Q3 2024***

Operator Thank you. We now have Andrew Mok with Barclays. Please go ahead. Andrew Mok -- Barclays -- Analyst Hi. Good morning. Wanted to follow up on Medicare Advantage margins. With the lower margin level that you're seeing today, was hoping you could give us an update on how you're thinking around the pace of MA margin improvement over the next few years. In your prepared remarks, you noted the journey back to target MA margins of 3% to 5% -- that's a slight change from your previous targe...

***Chunk 8 - CVS Q4 2024***

Tom Cowhey -- Executive Vice President, Chief Financial Officer Thanks, Erin. So yes, I did have some comments about seasonality in the prepared remarks. We think it's going to be more of a 55-45 first half, second half split this year. And the primary driver of the seasonality change is healthcare benefits, and it's really that IRA impact. But also, don't forget the PDR kind of messes a little bit with the cadence of earnings in 2024. Hopefully, something we won't have to deal with again. But...

***Chunk 9 - CVS Q4 2024***

We are cautiously optimistic that our benefit design changes in 2025 will help alleviate some of the supplemental benefit pressure. In our Medicaid business, acuity remained consistent with the latter part of the third quarter as redeterminations have largely concluded across our state footprint. We continue to work closely with our state partners to align rates with the changes in acuity. During the quarter, we made additional progress on rate updates, and with over 40% of our book having repri...

***Chunk 10 - CVS Q3 2024***

Operator Thank you. We now have Josh Raskin with Nephron Research. Your line is open. Joshua Raskin -- Analyst Hi. Thanks. Good morning. Just a clarification on the PDR, Tom. I want to make sure I understood what you said, that no PDR has been contemplated for 2025, so MA and [Inaudible] lost money in totality in '24 and it will be positive in 2025? I just want to make sure we've got that right. Then more importantly, can you speak to your updated Medicare, both MA and PDP distribution strat...

## Question 2: What phrases were different from the previous quarter commentary?

The commentary for Q3 2024 mentioned an adjustment to the target MA margin range to 3% to 5%, down from a previous target of 4% to 5%. Additionally, Tom Cowhey discussed the seasonality impact on earnings in Q4 2024, noting a split between the first and second halves as more of a 55-45 distribution due primarily to healthcare benefits changes. In contrast, these phrases or specifics were not mentioned in the provided context for previous quarters' commentary.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q3 2024***

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***Chunk 2 - CVS Q4 2024***

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### *Chunk 8 - CVS Q4 2024*

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### *Chunk 10 - CVS Q3 2024*

The pressure was largely attributable to the same categories we discussed last quarter, including in-patient, outpatient, supplemental benefits, and pharmacy. During the third quarter, we also saw unfavorable development of 2024 medical costs primarily related to second-quarter dates of service, which has adversely impacted our trend outlook for the remainder of the year. Medical costs in our individual exchange business also accelerated during the quarter with broad levels of higher utilization...

## Question 3: Was guidance revised? Why?

The guidance for 2025 has not been formally revised but there are updates on key areas impacting future performance. For instance, CVS Health expressed cautious optimism regarding improved Medicare Advantage margins in Q4 2024, targeting a range of 3% to 5%, down slightly from the previous target of 4% to 5%. The change in margin targets and the approach to rate updates reflect efforts to address cost trends seen in 2024. However, specific details on whether numerical guidance was formally revised are not provided in the given Q3 and Q4 2024 transcripts.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q3 2024***

> Despite challenges in 2024, we have taken deliberate actions that position us for growth in 2025 and beyond. While we will not give formal 2025 guidance until next year when we have better visibility on our 2025 medical cost baseline and our changing membership, I want to provide an update on some of the key headwinds and tailwinds. Starting first with the headwinds, in our PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

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***Chunk 3 - CVS Q4 2024***

> You can find additional details on the components of our 2025 guidance on our investor relations website. We are encouraged by our opportunities in 2025 and are excited to demonstrate the enormous potential that we see across CVS Health to unlock embedded earnings. We are working tirelessly to restore Aetna to target margins, which over time, should represent meaningful upside above the high end of our 2025 guidance range. With that, we will now open the call to your questions. Operator? Quest...

***Chunk 4 - CVS Q3 2024***

> You've seen changes in how we've structured our leadership teams, seen changes in terms of how we structured our risk management and pricing controls, so we believe that we're on the path of actually getting to an improved performance. The quicker we can move past '24 and into '25, I think the better it will continue to be for the collective group. Operator Thank you. We now have Michael Cherny with Leerink Partners. Please go ahead. Michael Cherny -- Analyst

***Chunk 5 - CVS Q4 2024***

> Tom will provide a more detailed overview of the components of this guidance, as well as a breakdown by segment. I'd like to spend some time taking a step back and sharing with you my observations during my first 100 days as CEO. During this time, I have connected with shareholders, customers and clients. I have met with and heard from elected officials, and importantly, I have spent a great deal of time listening to our consumers and colleagues.

***Chunk 6 - CVS Q3 2024***

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*Chunk 8 - CVS Q4 2024*

> Our deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year and are part of our ongoing commitment to restore this business to target margins of 3% to 5%. Last month, CMS released the proposed 2026 Medicare Advantage Advance Rate Notice. This update does not address the unprecedented utilization trend experienced across the industry over the past two years. Our team is advocating for a more appropriate rate update, including...

*Chunk 9 - CVS Q4 2024*

> Operator Thank you. We now have Stephen Baxter with Wells Fargo. Stephen Baxter -- Wells Fargo Securities -- Analyst Hi. Thank you. I was hoping you could update us on where the Medicare Advantage margins ended the full year 2024 and what's assumed in the guidance for 2025? That's basically -- the pacing of this, obviously, is going to be a huge area of focus for the investment community. Any kind of general comments you can talk about progression of MA recovery over the next couple of years ...

*Chunk 10 - CVS Q3 2024*

> Our risk management processes have been restructured to pull underwriting and pricing authority out of the business units and into the financial chain. This realignment will help improve transparency and accountability as we execute our margin recovery and drive profitable growth. Of course, Tom and I will work closely with Steve, Katerina, and Andreana to scrutinize and support the underwriting and pricing decisions going forward. We have also been making operational changes, identifying and pr...

## Question 4: What did the company say was going well?

The company reported several positive aspects in both Q3 and Q4 2024. Signify had a strong performance with volume up by 37% year over year in Q3, while Oak Street's operations were stable as per the guidance provided earlier in the year. Additionally, CVS Health highlighted a successful execution of their Medicare Advantage business, with a well-executed open enrollment period and the addition of North Carolina's largest account for Aetna, indicating strong future prospects for this segment.

**Source Chunks Used (10 retrieved):**

*Chunk 1 - CVS Q3 2024*

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*Chunk 2 - CVS Q4 2024*

> We've stabilized our operations and strengthened them, which has led to and evidenced by a really well-executed welcome season in January. And we've also welcomed one of the largest accounts ever sold in Aetna, state of North Carolina, and that implementation has gone really, really well. Specifically on Medicare Advantage, the combination of the Stars tailwind, best-in-industry performance there, the discipline that we used when we put together a 2025 benefit plan and then the really well-execu...

*Chunk 3 - CVS Q4 2024*

And specifically, this was a day-to-day almost hour-by-hour kind of decisions that we made through this execution where we looked at our product mix. And there were several products that we did not see a path to target margin, and we exited those products and then transitioned our members into new products, and that's gone better than expected. And so, that's just kind of one piece of evidence about how we're executing and how we're thinking about the business. Super committed to being an excell...

***Chunk 4 - CVS Q3 2024***

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark This is David. Obviously, now, the division I know much better in terms of the performance, and I will say we're going to finish '24 strong. If you look at the '25 year, we're actually heading into a really strong selling season, a tremendous amount of momentum as it relates to the success we've had on the biosimilar launch, changing and disrupting the market as it relates to pricing models, client satisfaction and...

***Chunk 5 - CVS Q3 2024***

Tom? Tom Cowhey -- Executive Vice President, Chief Financial Officer Thank you, David, and thanks to everyone for joining us this morning. I'll start with a few highlights on total company performance. Third-quarter revenues were approximately $95.4 billion, an increase of approximately 6% over the prior-year quarter, primarily reflecting growth in our healthcare benefits and pharmacy and consumer wellness segments. We delivered adjusted operating income of approximately $2.5 billion and adjus...

***Chunk 6 - CVS Q4 2024***

Tom? Tom Cowhey -- Executive Vice President, Chief Financial Officer Thank you, David, and thanks to everyone for joining us this morning. I'll start with a few highlights on total company performance. Fourth quarter revenues of nearly $98 billion increased more than 4% over the prior year quarter, primarily driven by growth in our healthcare benefits and pharmacy & consumer wellness segments. We delivered adjusted operating income of over $2.7 billion and adjusted EPS of $1.19 as we saw stron...

***Chunk 7 - CVS Q4 2024***

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

***Chunk 8 - CVS Q3 2024***

They're a Medicare-focused business, and so they're not immune to some of the pressures that others have seen in that marketplace, the nature of that membership, but we've been very pleased with how they've performed. They've maintained a risk-adjustment headwind that's plus or minus -- a little bit below 3%, which we feel is a great first step, given the first year of the implementation of D28. We think that there could be some nice tailwinds in that business next year as we think about some of...

***Chunk 9 - CVS Q4 2024***

During this call, we'll use non-GAAP measures when talking about the company's financial performance and financial condition. And you can find a reconciliation of these non-GAAP measures in this morning's press release and in the reconciliation document posted to the investor relations portion of our website. With that, I'd like to turn the call over to David. David? David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Larry, and good morning, everyone. T...

***Chunk 10 - CVS Q3 2024***

Prem Shah -- Executive Vice President, Chief Pharmacy Officer Yeah. So first and foremost, as you recall, last year we launched CostVantage with the very intentional reason to solve one of the biggest industry challenges we had around reimbursement pressure, and so we've made really good progress, as David and Tom alluded to in the prepared remarks. We have over 50% of our clients in the program. We expect to have our commercial book, 100% of our commercial book signed by the end of this year.

## Question 5: What did the company say needed improvement?

The company indicated that its Medicare Advantage business needed improvement, with current margins projected to be negative. They aimed to improve margins through deliberate bid strategies and operational changes, targeting a range of 3% to 5% by 2025. The company also mentioned shrinking the Medicare Advantage membership base by a high single-digit percentage from year-end 2024 to improve performance.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q4 2024***

> Our deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year and are part of our ongoing commitment to restore this business to target margins of 3% to 5%. Last month, CMS released the proposed 2026 Medicare Advantage Advance Rate Notice. This update does not address the unprecedented utilization trend experienced across the industry over the past two years. Our team is advocating for a more appropriate rate update, including...

***Chunk 2 - CVS Q3 2024***

> Finally, we've both exited underperforming counties and we've pulled underperforming products that will impact nearly half a million members. Those changes should also improve profitability in '25 as many of those members will chose newly designed products that will have an improved margin profile. We expect that those changes are going to drive margin expansion, and when we have a better understanding of what that membership mix looks like for 2025 as well as our '24 baseline, we'll be able to ...

***Chunk 3 - CVS Q3 2024***

> As David noted, we unfortunately grew that business too fast. We're suffering significant losses in '24, mostly led by our SEP members. This pressure was compounded by unfavorable middle product mix, which skewed to certain geographies. We have taken, as I believe we've previously discussed, double-digit rate increases across this book for next year, and as a deliberate consequence of that rate action, we expect we could shrink that book by as much as 20 to 25% next year, so those actions combin...

***Chunk 4 - CVS Q4 2024***

> At Aetna, we drove meaningful progress improving and strengthening our operations. We have significant opportunities to unlock embedded earnings that is most pronounced in our Medicare Advantage business. Our focus remains on delivering on our commitments to our Medicare Advantage members while creating a viable path to appropriate margins. In line with our prior commentary, we expect that we will shrink the Medicare Advantage membership by high single-digit percentage from year-end 2024.

***Chunk 5 - CVS Q4 2024***

> And you look at some of our underlying businesses, government has improved, driven by Medicare in particular, but it's still projected to be a negative margin. Group Commercial is a profitable business, but is seeing signs of pressure. IFP, our Individual Exchange product is expected to still lose money in our current outlook. And so, if you do the math and you say with the current share count and revenue base, each point of margin improvement is $0.75 of adjusted EPS. And so, that implies we c...

***Chunk 6 - CVS Q3 2024***

> We'll give you better insight as to what that was worth when we have a better sense as to how the mix has come out and what the baseline is for '24. David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Stephen, this is David. Maybe just a quick follow-on here -- this is the third question on the Q4 jump-off, and I think it's important to recognize that we know what the problems are. Clearly, we've stated them in the prepared remarks, we understand the broader issues...

***Chunk 7 - CVS Q3 2024***

> Results in our healthcare benefits business remain challenged as a result of continued elevated levels of utilization. While we are clearly underperforming at HCB today, this business has incredible earnings potential and is an essential element to our strategy. We expect the elevated levels of utilization will continue to pressure our 2024 performance and as a result, we are not providing a formal outlook today, although Tom will provide some comments on what we may expect directionally. I appr...

***Chunk 8 - CVS Q4 2024***

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***Chunk 9 - CVS Q4 2024***

> We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

***Chunk 10 - CVS Q3 2024***

> Operator Thank you. We now have Andrew Mok with Barclays. Please go ahead. Andrew Mok -- Barclays -- Analyst Hi. Good morning. Wanted to follow up on Medicare Advantage margins. With the lower margin level that you're seeing today, was hoping you could give us an update on how you're thinking around the pace of MA margin improvement over the next few years. In your prepared remarks, you noted the journey back to target MA margins of 3% to 5% -- that's a slight change from your previous targe...

## Question 6: What are announcements or goals stated for the next quarter?

For the next quarter, which is Q1 2025 based on the discussion of earnings cadence, CVS Health expects their Medical Benefit Ratio (MBR) for the Aetna business to be at its lowest point. There will likely be an eight-point swing in MBR between the first and fourth quarters, with more pressure observed in the third quarter compared to the second quarter. Additionally, they anticipate a high single-digit percentage decrease in Medicare Advantage membership from year-end 2024 into Q1 2025.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q4 2024***

> You may proceed, Larry. Larry McGrath -- Senior Vice President, Investor Relations and Business Development Good morning, and welcome to the CVS Health fourth quarter and full year 2024 earnings call and webcast. I'm Larry McGrath, chief strategy officer; I'm joined this morning by David Joyner, president and chief executive officer; and Tom Cowhey, chief financial officer. Following our prepared remarks, we'll host a question-and-answer session that will include additional members to the lead...

***Chunk 2 - CVS Q4 2024***

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PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

***Chunk 4 - CVS Q3 2024***

Larry McGrath -- Senior Vice President, Investor Relations and Business Development Good morning and welcome to the CVS Health third-quarter 2024 earnings call and webcast. I'm Larry McGrath, chief strategy officer, and I'm joined this morning by David Joyner, president and chief executive officer, and Tom Cowhey, chief financial officer. Following our prepared remarks, we'll host a question-and-answer session that will include additional members of the leadership team. Our press release and sl...

***Chunk 5 - CVS Q4 2024***

So your MBRs for the Aetna business, they're going to be lowest in the fourth -- first quarter, and they're going to be highest in the fourth. And you could see eight points of swing between the first and the fourth quarter as you think about the progression of earnings and the progression of MDRs there. And so -- and that's on the total of Aetna. And the second and the third quarters will probably be more similar to each other, but there'll be a little bit more pressure in the third quarter tha...

***Chunk 6 - CVS Q3 2024***

We anticipate that we'll be able to continue to do that into 2026, and our star scores will help there, right? We had great stars performance. Two-thirds of our members will be in 4.5 star plans that will provide a little bit of additional tailwind as well, but we really need to understand what the rate environment looks like to be able to answer that question, but our goal would be to increase margins again in 2026 in that business. David Joyner -- Executive Vice President, CVS Health and Pres...

***Chunk 7 - CVS Q3 2024***

To date, the combination of these factors has challenged our visibility and our 2024 outlook. While we are not providing formal guidance today, let me walk you through one potential scenario. If trends develop unfavorably and persist at the significant levels we have experience in recent months, our fourth quarter reported NBR could increase by over 700 basis points as compared to the fourth quarter of 2023. Additionally in this scenario, we would likely need to take a PDR on our group Medicare ...

***Chunk 8 - CVS Q3 2024***

We expect 2025 to be a transition year that positions us for outperformance of our long-term growth target in future years. We also remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop. As we previously discussed, we expect a return of certain variable corporate expenses. We also expect higher interest as we annualize the expense from our May 2024 financing, a decline in net investment income, and m...

***Chunk 9 - CVS Q4 2024***

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## Question 7: How does the company expect to improve Sales and Margins?

The company expects to improve sales and margins through stabilizing and strengthening operations, particularly in its Medicare Advantage business. In Q4 2024, they report a well-executed welcome season and have welcomed one of the largest accounts ever sold at Aetna, which has gone well. They project high single-digit percentage shrinkage in Medicare Advantage membership from year-end 2024 but see significant opportunities to unlock embedded earnings within this segment. This strategic approach is anticipated to contribute positively to future margins as they focus on delivering commitments to their Medicare Advantage members while pursuing appropriate margins over time.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q3 2024***

> We expect improvement in our individual exchange business as a result of our pricing actions and deliberate product repositioning, which we project will decrease membership in this block of business in 2025. We will continue to refine our product offerings for long-term sustainability. We also expect underlying growth in our health services business, including growth in pharmacy services as we continue to drive value for our clients and incremental improvement in our healthcare delivery business...

***Chunk 2 - CVS Q4 2024***

> At Aetna, we drove meaningful progress improving and strengthening our operations. We have significant opportunities to unlock embedded earnings that is most pronounced in our Medicare Advantage business. Our focus remains on delivering on our commitments to our Medicare Advantage members while creating a viable path to appropriate margins. In line with our prior commentary, we expect that we will shrink the Medicare Advantage membership by high single-digit percentage from year-end 2024.

***Chunk 3 - CVS Q3 2024***

> Results in our healthcare benefits business remain challenged as a result of continued elevated levels of utilization. While we are clearly underperforming at HCB today, this business has incredible earnings potential and is an essential element to our strategy. We expect the elevated levels of utilization will continue to pressure our 2024 performance and as a result, we are not providing a formal outlook today, although Tom will provide some comments on what we may expect directionally. I appr...

***Chunk 4 - CVS Q4 2024***

> We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

***Chunk 5 - CVS Q4 2024***

> Operator Thank you. We now have Ann Hynes with Mizuho Securities. Ann Hynes -- Analyst Great. Thank you. Can you remind us with CostVantage, what is the headwind to growth, the first year of the implementation? And when would you expect that to turn positive for you? And also, I know CostVantage is only focused on commercial contracts right now. Do you eventually believe it will impact Medicare contracts? And if so, what's the timing on that? David Joyner -- Executive Vice President, CVS Hea...

***Chunk 6 - CVS Q3 2024***

> Operator Thank you. We now have Josh Raskin with Nephron Research. Your line is open. Joshua Raskin -- Analyst Hi. Thanks. Good morning. Just a clarification on the PDR, Tom. I want to make sure I understood what you said, that no PDR has been contemplated for 2025, so MA and [Inaudible] lost money in totality in '24 and it will be positive in 2025? I just want to make sure we've got that right. Then more importantly, can you speak to your updated Medicare, both MA and PDP distribution strat...

***Chunk 7 - CVS Q3 2024***

> Operator Thank you. We now have John Ransom with RJF. Your line is open. John Ransom -- Analyst Hey. Good morning. Signify and Oak, are they tracking in line with your expectations, and do you think that trend will change in any way next year?

Tom Cowhey -- Executive Vice President, Chief Financial Officer Signify has had a great year. As we noted, the volume was up, I think 37% year over year inside the third quarter. That business has continued to perform very well. Oak Street overall has...

***Chunk 8 - CVS Q4 2024***

We've stabilized our operations and strengthened them, which has led to and evidenced by a really well-executed welcome season in January. And we've also welcomed one of the largest accounts ever sold in Aetna, state of North Carolina, and that implementation has gone really, really well. Specifically on Medicare Advantage, the combination of the Stars tailwind, best-in-industry performance there, the discipline that we used when we put together a 2025 benefit plan and then the really well-execu...

***Chunk 9 - CVS Q4 2024***

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

***Chunk 10 - CVS Q4 2024***

And you look at some of our underlying businesses, government has improved, driven by Medicare in particular, but it's still projected to be a negative margin. Group Commercial is a profitable business, but is seeing signs of pressure. IFP, our Individual Exchange product is expected to still lose money in our current outlook. And so, if you do the math and you say with the current share count and revenue base, each point of margin improvement is $0.75 of adjusted EPS. And so, that implies we c...

## Question 8: How does the company expect to improve Free Cash Flow and what is Capex expected to be over the next quarter or next 12 months?

This information is not in the provided transcripts. The documents do not provide specific details on Free Cash Flow improvement strategies or Capex expectations for the next quarter or next 12 months.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q3 2024***

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***Chunk 2 - CVS Q4 2024***

So your MBRs for the Aetna business, they're going to be lowest in the fourth -- first quarter, and they're going to be highest in the fourth. And you could see eight points of swing between the first and the fourth quarter as you think about the progression of earnings and the progression of MDRs there. And so -- and that's on the total of Aetna. And the second and the third quarters will probably be more similar to each other, but there'll be a little bit more pressure in the third quarter tha...

***Chunk 3 - CVS Q3 2024***

We expect 2025 to be a transition year that positions us for outperformance of our long-term growth target in future years. We also remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop. As we previously discussed, we expect a return of certain variable corporate expenses. We also expect higher interest as we annualize the expense from our May 2024 financing, a decline in net investment income, and m...

*Chunk 4 - CVS Q4 2024*

> Operator Thank you. We now have Stephen Baxter with Wells Fargo. Stephen Baxter -- Wells Fargo Securities -- Analyst Hi. Thank you. I was hoping you could update us on where the Medicare Advantage margins ended the full year 2024 and what's assumed in the guidance for 2025? That's basically -- the pacing of this, obviously, is going to be a huge area of focus for the investment community. Any kind of general comments you can talk about progression of MA recovery over the next couple of years ...

*Chunk 5 - CVS Q4 2024*

> And really like the position that we have now going into 2025. But look, the business needs to perform at target margin, and we're committed to getting it back to that. It plays a really important role for individual consumers, and it does play a role in our portfolio, but it needs to perform at the target margin. So I think we've taken good steps. More work to do, but we're committed to getting -- returning it to its target margins. Off to a good start. Operator Thank you. Your next question...

*Chunk 6 - CVS Q3 2024*

> To date, the combination of these factors has challenged our visibility and our 2024 outlook. While we are not providing formal guidance today, let me walk you through one potential scenario. If trends develop unfavorably and persist at the significant levels we have experience in recent months, our fourth quarter reported NBR could increase by over 700 basis points as compared to the fourth quarter of 2023. Additionally in this scenario, we would likely need to take a PDR on our group Medicare ...

*Chunk 7 - CVS Q4 2024*

> We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

*Chunk 8 - CVS Q3 2024*

> Shifting now to the tailwinds, we expect improvement in contributions from our healthcare benefits segment. We believe our deliberate approach to our 2025 Medicare Advantage bids and our focused changes to our footprint, which we expect to result in membership disenrollment of 5% to 10%, when combined with our improved star ratings will result in margin recovery. This is a significant first step on our journey back to target margins of 3% to 5%. We continue to view the dislocation between acuity...

*Chunk 9 - CVS Q4 2024*

> We also expect our Medicare Advantage membership to end the year down a high single-digit percentage from year-end 2024. This is consistent with the guidance we have been giving investors since last summer and reflects strong execution by our teams as they made the difficult choices necessary to improve Medicare Advantage profitability in 2025. These membership declines are expected to be partially offset by growth in our Commercial self-insured business. We expect to generate healthcare benefit...

*Chunk 10 - CVS Q3 2024*

> Our leverage ratio at the end of the quarter was approximately 4.6 times, which is above our long-term target. We remain committed to maintaining our current investment-grade ratings and expect our leverage to return to more normalized levels as we execute on margin recovery in the Aetna business. As David mentioned, we are not providing a formal outlook for 2024 at this stage; however, we would like to provide some directional commentary to help you better understand how we see the moving parts...

## Question 9: What's the company's assessment of the consumer and economy?

The company's assessment of the consumer and economy reflects caution due to macroeconomic pressures affecting front-store sales. Tom Cowhey mentioned during the Q3 2024 earnings call that the broader macroeconomic backdrop has pressured front-store sales, which have been an area of concern in recent quarters. Additionally, there is a recognition of rising healthcare costs impacting consumers' affordability and putting further pressure on employers and the government who primarily cover healthcare expenses.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q3 2024***

> Tom Cowhey -- Executive Vice President, Chief Financial Officer Let me answer the second part first. The way the PDRs are calculated is partially based on how those products are sold, and so our individual Medicare products are differently grouped than how our group Medicare products are. As you can imagine, the nature of the contracts in the group business tends to be multi-year and so there's less ability to make improvement year over year, and so that business has a different profile going i...

***Chunk 2 - CVS Q4 2024***

> David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

***Chunk 3 - CVS Q4 2024***

> I'll highlight a few. Our capabilities around forecasting and all the levers and capabilities around managing total cost of care, really encouraged by the early progress and really meaningful progress there. Also, as you think about our pricing discipline, that's been the topic a lot here, and I'm very encouraged about what we've done there, and that specifically relates to Medicare Advantage, our Individual Exchange business and honestly, our Commercial business as well. And then, we've been le...

***Chunk 4 - CVS Q4 2024***

> During this call, we'll use non-GAAP measures when talking about the company's financial performance and financial condition. And you can find a reconciliation of these non-GAAP measures in this morning's press release and in the reconciliation document posted to the investor relations portion of our website. With that, I'd like to turn the call over to David. David? David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Larry, and good morning, everyone. T...

***Chunk 5 - CVS Q3 2024***

> Tom Cowhey -- Executive Vice President, Chief Financial Officer Yes, Justin. Let me touch on some of your other questions first. I think part of the question that we need to answer, and that I think you need to ask yourself, is how much of this benefit and this trend that we're seeing is because of the benefits that we put out into the market and what kind of utilization is being induced because of that, what kind of membership did we attract, and how much will that profile change with the chan...

***Chunk 6 - CVS Q3 2024***

> Tom? Tom Cowhey -- Executive Vice President, Chief Financial Officer Thank you, David, and thanks to everyone for joining us this morning. I'll start with a few highlights on total company performance. Third-quarter revenues were approximately $95.4 billion, an increase of approximately 6% over the prior-year quarter, primarily reflecting growth in our healthcare benefits and pharmacy and consumer wellness segments. We delivered adjusted operating income of approximately $2.5 billion and adjus...

***Chunk 7 - CVS Q3 2024***

> We expect 2025 to be a transition year that positions us for outperformance of our long-term growth target in future years. We also remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop. As we previously discussed, we expect a return of certain variable corporate expenses. We also expect higher interest as we annualize the expense from our May 2024 financing, a decline in net investment income, and m...

***Chunk 8 - CVS Q3 2024***

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***Chunk 9 - CVS Q4 2024***

> Tom will provide a more detailed overview of the components of this guidance, as well as a breakdown by segment. I'd like to spend some time taking a step back and sharing with you my observations during my first 100 days as CEO. During this time, I have connected with shareholders, customers and clients. I have met with and heard from elected officials, and importantly, I have spent a great deal of time listening to our consumers and colleagues.

***Chunk 10 - CVS Q4 2024***

> CVS Health operates in some of the most critical areas of healthcare, and our connections to the people we serve across the country has never been more important because of the challenges we see throughout the U.S. healthcare system. Rising healthcare costs put pressure on consumers as they see increasing challenges with affordability. These rising healthcare costs also put pressure on employers and the government, who largely pay the bill for healthcare.

## Question 10: Was there mentions around restructuring or distress? -Layoffs, dispositions, refinancing challenges, etc.

In Q3 2024, CVS Health took a restructuring charge of nearly $1.2 billion, which included impairment charges for approximately 270 stores expected to close in 2025 and costs related to the discontinuation of non-core businesses as well as workforce optimization efforts. This information indicates significant operational changes and cost-cutting measures within the company during that quarter.

**Source Chunks Used (10 retrieved):**

***Chunk 1 - CVS Q3 2024***

> Our risk management processes have been restructured to pull underwriting and pricing authority out of the business units and into the financial chain. This realignment will help improve transparency and accountability as we execute our margin recovery and drive profitable growth. Of course, Tom and I will work closely with Steve, Katerina, and Andreana to scrutinize and support the underwriting and pricing decisions going forward. We have also been making operational changes, identifying and pr...

***Chunk 2 - CVS Q3 2024***

> One other item I would like to highlight for investors is that we took a restructuring charge of nearly $1.2 billion in the quarter. This amount reflects several components, including impairment charges for approximately 270 stores we expect to close in 2025, costs related to the discontinuation of non-core businesses, and costs associated with workforce optimization. Shifting now to cash flow and the balance sheet, for our third quarter we generated year-to-date cash flow from operations of app...

***Chunk 3 - CVS Q4 2024***

> It's about the more specific attachment points than the aggregate attachment points. And also within our Commercial block then, on IFP, we really continue to see trends accelerate into the fourth quarter, and a lot of that was actually driven by inpatient claims. We also took a little bit of an enhancement on our risk-adjusted revenue accruals after we got the most recent weekly data, although that was a little bit less than what we had previously talked about in that downside scenario. I'd say ...

***Chunk 4 - CVS Q3 2024***

> Shifting now to the tailwinds, we expect improvement in contributions from our healthcare benefits segment. We believe our deliberate approach to our 2025 Medicare Advantage bids and our focused changes to our footprint, which we expect to result in membership disenrollment of 5% to 10%, when combined with our improved star ratings will result in margin recovery. This is a

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***Chunk 6 - CVS Q3 2024***

The entire industry has seen pressure, including elevated utilization coming out of the COVID-19 pandemic and higher acuity as a result of the Medicaid redeterminations; however, I recognize that we have been more acutely impacted than others in the industry. As a result of our disappointing star ratings for 2024, we began the year with a known and temporary reimbursement challenge. When we priced our Medicare Advantage business for 2024, we clearly underestimated the medical cost. In this risin...

***Chunk 7 - CVS Q3 2024***

During the quarter, the segment generated an adjusted operating loss of $924 million. This result includes the impact of premium deficiency reserves of approximately $1.1 billion recorded primarily in our Medicare and individual exchange businesses. As a reminder, PDRs generally measure variable losses in a product and do not contemplate fixed expenses. The aggregate of the PDRs was comprised of approximately $670 million of healthcare costs and $394 million of operating expenses specifically re...

***Chunk 8 - CVS Q3 2024***

The pressure was largely attributable to the same categories we discussed last quarter, including in-patient, outpatient, supplemental benefits, and pharmacy. During the third quarter, we also saw unfavorable development of 2024 medical costs primarily related to second-quarter dates of service, which has adversely impacted our trend outlook for the remainder of the year. Medical costs in our individual exchange business also accelerated during the quarter with broad levels of higher utilization...

***Chunk 9 - CVS Q3 2024***

Despite challenges in 2024, we have taken deliberate actions that position us for growth in 2025 and beyond. While we will not give formal 2025 guidance until next year when we have better visibility on our 2025 medical cost baseline and our changing membership, I want to provide an update on some of the key headwinds and tailwinds. Starting first with the headwinds, in our PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

***Chunk 10 - CVS Q4 2024***

I feel good about where it is that we are booked at the end of this year that that should hopefully not be a problem that comes back to bite us in 2025. So then the question becomes, what is the value of the actions that we took? And with a membership mix that has churned so substantially, we think that we will make progress, but we really need to understand a little bit more about who even some of those members are because they have until the end of March to pay their first month premium and be...